

Strategy & Objective

The investment strategy of the Arculus Fixed Income Fund is to identify appropriate investments from the pool of Australian sovereign and Australian senior bank bonds that are expected to generate a sufficiently high yield, commensurate with the assumed risk, with minimum volatility of returns. The Fund is not benchmark aware so is without a duration target. It is focused on achieving an absolute return of the 90-day BBSW rate plus 150bps. The Fund may be appropriate for investors seeking a low to medium risk investment over a 1 to 3-year period.

The Fund aims to provide income and capital stability and a high degree of liquidity in all market conditions. The total return will mainly comprise income from security income payments. The target rate of return is the 90-day Bank Bill Swap Rate plus 1.5% before fees.

ESG

Environmental, Social and Governance issues form part of the risk analysis framework. For further information on Arculus' ESG policies and practices, visit <https://arculus.com.au/environment-social-and-governance/>.

Fund details

DDH Graham Limited (DDH) is the responsible entity of the Fund. As responsible entity, DDH is responsible for the management and administration of the Fund, including the issue of the Fund's Product Disclosure Statement and all other public announcements concerning the Fund.

DDH has appointed GCI Australia Pty Ltd (one of Australia's leading Investment management businesses) ABN 68 140 364 576 (GCI) as the Fund's outsourced investment manager. Arculus Funds Management Pty Ltd (Arculus), a wholly owned subsidiary and Corporate Authorised Representative of GCI undertakes the investment management activities for the Fund.

APIR Code DDH8305AU
ARSN 622 419 578

Fund availability

This Fund can be accessed by investing directly, or indirectly, using the BT Panorama, Allan Gray, HUB24, Netwealth and Macquarie Wrap platforms.

Performance to 31 August 2025 (annualised)

	3M	6M	1Y	2Y	3Y	5Y	Since Inception
Total Return	1.19%	2.18%	5.17%	5.69%	5.09%	2.17%	2.17%
Cash Distribution	1.81%	3.16%	5.80%	5.27%	4.46%	3.06%	2.70%
+/- Growth	-0.62%	-0.98%	-0.63%	0.42%	0.63%	-0.89%	-0.53%

The Fund is benchmark unaware, but the target rate of return is the 90-day Bank Bill Swap Rate plus 1.5% before fees.

* Fund returns are net of all fees. Returns are calculated using exit prices and are calculated after all fees and costs have been deducted, assumes any distributions are reinvested and no allowance made for tax. The 'distribution' component represents the amount paid by way of distribution, including net realised capital gains. Numbers may not sum due to rounding. Past performance is not an indicator of future performance.

The inception date of the Fund was 16 November 2017.

Australian index returns 31 August 2025

Index	1m Return	3M Return	12M Return
Bloomberg Australia Bank Bill Index	0.32%	0.94%	4.25%
Bloomberg Australia Gov't 3-5 Year Index	0.37%	0.78%	4.31%
Bloomberg Australia Composite 0-3 Year Index	0.34%	0.88%	4.57%
Bloomberg Australia Composite 3-5 Year Index	0.42%	0.96%	4.99%
Bloomberg Australia Composite All Maturities Index	0.33%	1.05%	4.31%

Bloomberg Index data is sourced from Evans & Partners.

Fund rating

Initially rated 'Favourable' by SQM Research in December 2018, the Fund was upgraded to 'Superior' in December 2020 and retained annually. The latest review was March 2025.

As of 30 June 2025, the Fund is also rated by FundMonitors.com.

Fund ratings are not a recommendation and are subject to change.



5 Year



Fund size

As of 31 August 2025, the Net Asset Value of the Fund was \$60,264,774.48.

Portfolio characteristics 31 August 2025

Running Yield*	3.36%
Yield to Maturity*	4.53%
Average Margin	0.91%
Average Years to Maturity	2.44
Number of Securities Held	30
Floating	74.81%
Fixed	2.36%
Cash	22.84%
Modified Duration	0.12
Credit Duration	1.24

* Based on fund metrics at review date. Future returns may be different.

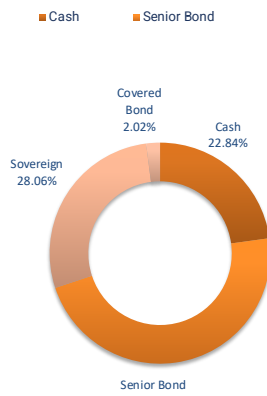
Fees

MER	0.368% + GST
Buy/Sell Spread	+0.10% / -0.10%
Performance Fees	Nil

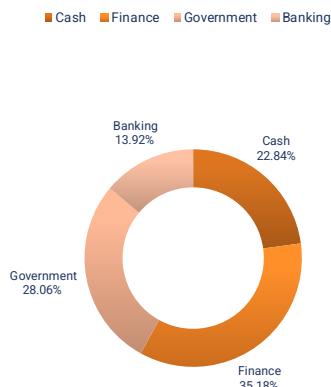
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Asset breakdown

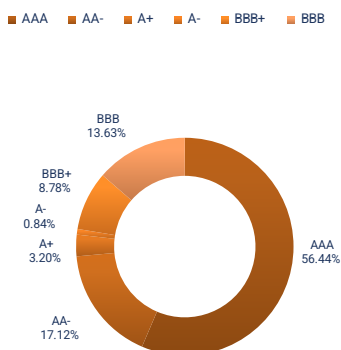
Sub Type Analysis



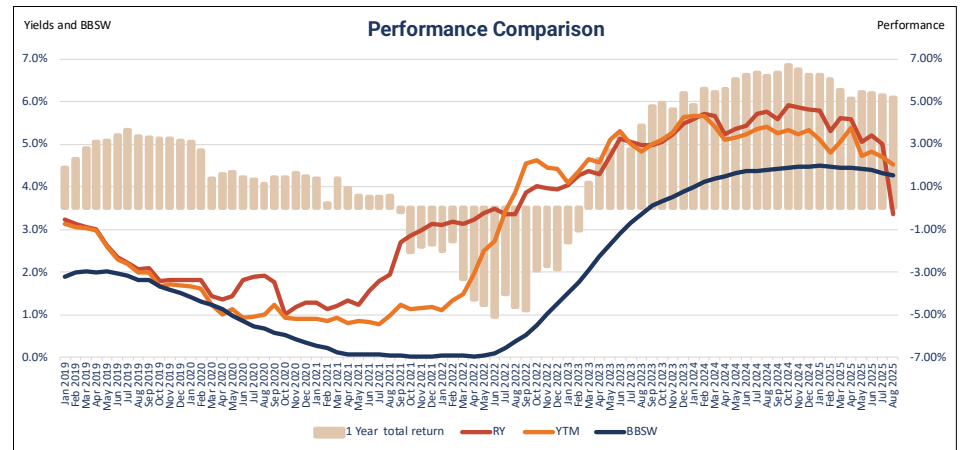
Sector Allocation



Credit Rating



Performance

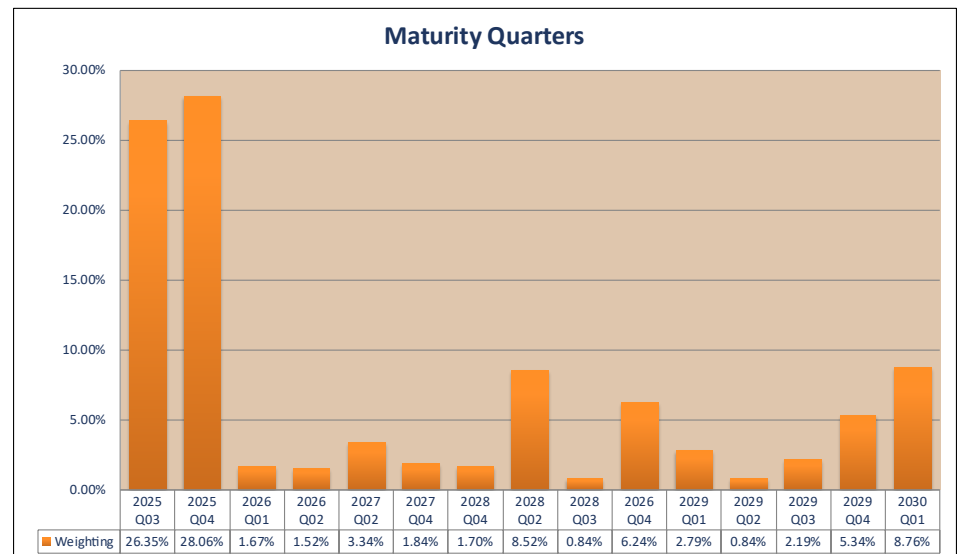


Source Arculus, DDH Graham Limited data.

The Fund returned, net of all fees, 31 basis points (bps) in August. Over the past 12 months the Fund has had a cash distribution to unit holders of 5.80% and a net of all fees return of 5.17%. These returns are reflective of the Fund's mandated universe of Australian Sovereign and APRA-regulated financial sector senior bonds.

Fund positioning

In August, the credit margins on senior bank bonds continued to tighten into the levels last seen in February and the 90-day BBSW rate fell to 3.57%. Tactically, profits were taken on a range of major and sub major senior bonds. The resultant funds were shifted into Commonwealth Treasury bonds maturing before December that had a yield to maturity of 3.60% but a coupon of only 25bps (issued during the pandemic in 2020). This shift into short-dated AAA Commonwealth Treasuries has temporarily depressed the portfolio running yield to 3.36% and the YTM down to 4.53%. These yields reflect a significant reduction in risk, in what was already a very low risk mandated universe.



Source: Arculus

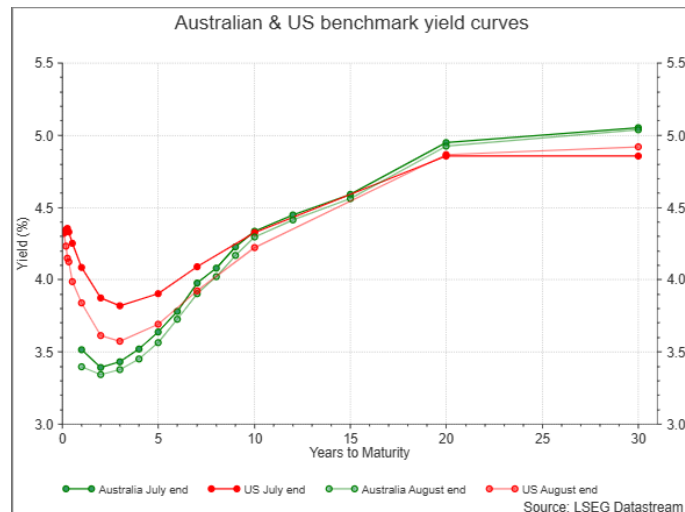
If there is a spike in global asset volatility in September, the Fund is well placed to shift out of cash and AAA Commonwealth Treasuries and back into senior bank bonds once margins have widened back to a level where there is sufficient return for risk.

Market review & outlook

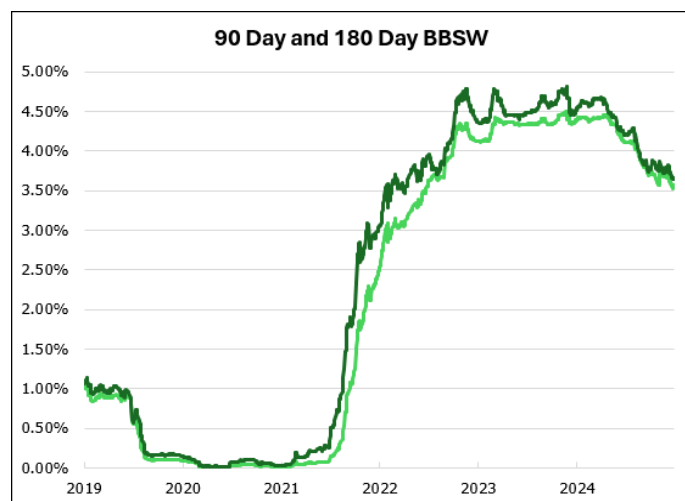
Despite interest rate cuts in Australia and an expectation that the US Federal Reserve will cut rates 25bps in September, the long end of the year curve is not moving significantly. We believe that this is likely a reflection of inflation risks in the outlook, but also rising geopolitical risks. Chief among these risks is government deficit concerns. It is very difficult to predict the timing on when these risks can materialise with an impact on bond yields and then the follow-on impact on all risk assets, but it is worth noting that rising government deficits risks are now spread across nearly the entire developed economic world.

- Japan's government debt to GDP ratio peaked at 225% in 2022 and remains very high at 216%. The Japanese 10-year yield rose over August to finish at 1.62%.
- The US deficit has been a point of discussion since the Big Beautiful Tax bill confirmed that the Republican Party were not going to address the problem of rising debt. US Government debt to GDP peaked in 2021 at 130% and is expected to keep rising from the current 124% to a fresh high over the next three years. This has resulted in the US benchmark yield curve steepening.
- The UK is in a difficult place with rising inflation, rising government debt levels and 30-year Gilt at the highest level in 25 years (higher than the GFC) at 5.6%. 10-year Gilt at 4.7% are the highest in 15 years.
- And now we have the French budget situation culminating on the 8th of September with potentially another government collapse.

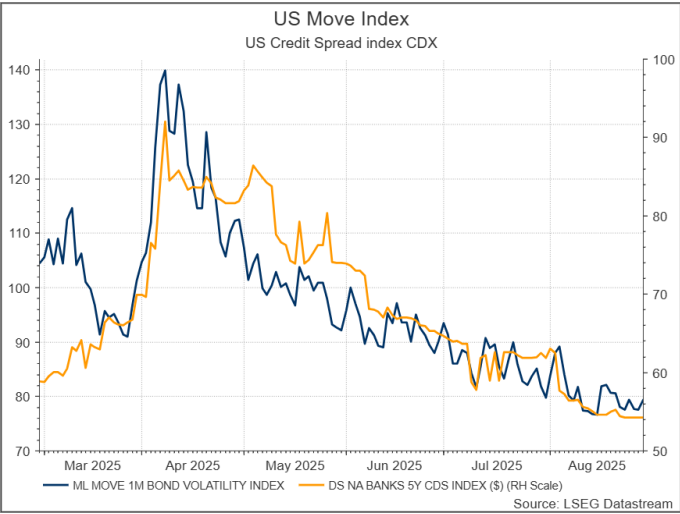
The Australian benchmark yield curve finished August 5bps tighter in the 2–7-year part of the curve but tracked changes in the US 10-year yield to finish at a slight premium after the RBA cut rates at the August meeting.



The RBA rate cut pushed the 90-day BBSW rate down to 3.53% before the market was shocked by the higher-than-expected monthly CPI reading that pushed it back to finish at 3.57%. While some market participants are still expecting two rate cuts between now and next March there is a growing number of economists that believe that rising inflation risks will keep the RBA on hold.



Across all developed economy money markets, we have seen a consistent and significant fall in bond and credit volatility since the spike in April. This fall in volatility is driving the tightening in credit margins in all development economy money markets.



The extent of this margin contraction can be seen at an aggregate level in the US CDX and Australian iTraxx charts below. The US credit tightening is leading the Australian market, but it has now reached levels only seen during the depths of the pandemic lockdowns, when both monetary and fiscal stimulus temporarily depressed margins.

